QP CODE: 25901032

MGU-BVOC (HONOURS) Regular EXAMINATION November 2025

First Semester

Skill Development Components (SDC) - MG1SDCBTX100 - DIMENSIONS OF BUSINESS

(2025 ADMISSION ONWARD

SCHEME FOR VALUATION

Time: 2 Hours Max. Marks: 70

Part A

Answer any 12 questions. Each question carries 1 mark.

1. Explain Business.
Business is an economic activity involving production or purchase and sale of goods or services for profit.

2. Importance of collaboration in the workplace.
It improves productivity, creativity, problem-solving, and helps achieve goals efficiently.

3. Describe Tertiary sector.
The tertiary sector provides services such as banking, transport, communication, tourism, and retail.

4. Explain income in annual return.
Income in annual return refers to the total earnings or revenue of a business reported in statutory filings.

5. Identify Hybrid business.
A hybrid business combines features of more than one business model—for example, a firm offering both products and services.

6. Indicate Departmental organisation.
Departmental organisation divides activities into departments based on functions such as marketing, finance, HR, etc.

7. Indicate centralisation.
Centralisation means decision-making authority is concentrated at the top level of management.

8. Explain types of real estate.
The major types are residential, commercial, industrial, and land.

9. Expand DSC.
DSC stands for Digital Signature Certificate.

10. Distinguish any 2 types of partnerships.
General Partnership: All partners have unlimited liability.
Limited Partnership: Some partners have limited liability.

11. Explain Ministry of Corporate Affairs.
MCA is the government body that regulates company laws, corporate governance, and compliance in India.

12. Benefits of open line of communication.
It builds trust, reduces conflicts, increases engagement, and improves workplace efficiency.

13. Explain media services.
Media services include advertising, broadcasting, digital content creation, and communications support.

14. Distinguish between name clause and object clause.
Name Clause: Specifies the legal name of the company.
Object Clause: Defines the purpose and business activities of the company.

Part B Short Essay Questions

Answer any 10 questions. Each question carries 2 marks

15. Qualities of a Good Leader [An / CO2]

A good leader possesses a combination of personal traits and managerial abilities that help guide a team effectively.

Key Qualities

1. Vision
    - A leader has a clear sense of direction and long-term goals for the organisation.
2. Effective Communication
    - Conveys ideas clearly and listens to team members.
3. Integrity and Ethical Behaviour
    - Acts honestly and builds trust within the organisation.
4. Decision-Making Ability
    - Makes timely, balanced, and rational decisions even under pressure.
5. Motivational Skills
    - Encourages and inspires employees to perform at their best.
6. Empathy and Emotional Intelligence
    - Understands the feelings, needs, and challenges of team members.
7. Accountability
    - Accepts responsibility for actions and outcomes and encourages the same in others.

16. Limited Liability Company (LLC) – Description [U / CO1]

A Limited Liability Company is a business structure combining advantages of both partnership and corporate forms.

Characteristics

1. Separate Legal Entity
    - The company exists independently from its owners.
2. Limited Liability
    - Owners (members) are liable only up to their investment.
3. Flexible Ownership
    - Can have one or multiple members.
4. Perpetual Succession
    - The company continues regardless of changes in membership.
5. Tax Benefits
    - Often enjoys favourable tax treatment depending on jurisdiction.
6. Ease of Formation and Operation
    - Less complex compared to a corporation.
7. Managed by Members or Managers
    - Provides flexibility in choosing management structure.

17. Limitations of Flatarchy Organisation Structure [An / CO2]

Flatarchy is a hybrid of flat and hierarchical structure, promoting flexibility and innovation, but has notable limitations.

Major Limitations

1. Lack of Role Clarity
    - Informal structure may confuse duties and authority.
2. Overburdened Managers
    - Fewer levels of hierarchy increase managerial workload.
3. Coordination Challenges
    - Too much decentralisation may make coordination complex.
4. Slow Decision-Making
    - Participation of many employees' delays decision processes.
5. Limited Career Growth
    - Few hierarchical levels restrict promotion opportunities.
6. Not Suitable for Large Organisations
    - Difficult to manage when the organisation grows in size.
7. Risk of Informal Communication Gaps
    - Excess informality may cause misinterpretation or lack of documentation.

18. Benefits of Insurance to Society and Nation [An / CO3]

Insurance contributes to economic development, social stability, and the financial system.

Benefits to Society and Nation

1. Risk Transfer and Financial Protection
    - Reduces financial burden on individuals and families during unexpected events.
2. Promotes Savings and Investments
    - Encourages long-term savings through life and pension plans.

3. Capital Formation
    - Premiums collected are invested in industrial, infrastructural, and national development.
4. Supports Business Stability
    - Minimises uncertainty and promotes entrepreneurship and innovation.
5. Employment Generation
    - Creates jobs in sales, underwriting, claims, IT, and support services.
6. Contribution to Government Revenue
    - Insurance companies pay taxes and contribute to national income.
7. Social Security and Welfare
    - Helps families during accidents, illness, disability, death, and natural disasters.

19. Procedure for Incorporation of a Company [A / CO4]

Company incorporation is the legal process through which a company is formally created.

Procedure

1. Name Reservation
    - Apply for company name approval under RUN or SPICe+ Part A.
2. Obtain DSC and DIN
    - Promoters/directors secure Digital Signature Certificates and Director Identification Numbers.
3. Prepare Required Documents
    - MOA, AOA, proof of registered office, identity/address proof of directors, declarations.
4. Filing SPICe+ Form
    - Submit the incorporation form online on the MCA portal with all attachments.
5. Payment of Fees and Stamp Duty
    - Pay statutory filing fees and stamp duty.
6. Verification by Registrar of Companies (ROC)
    - ROC checks accuracy, compliance, and validity of documents.
7. Issue of Certificate of Incorporation
    - On approval, the ROC issues the certificate with Corporate Identification Number (CIN), making the company legally existent.

20. Types of Leasing [An / CO3]

Leasing is a contractual arrangement where one party (lessee) uses an asset owned by another (lessor) for periodic payments.

Types of Leasing

1. Operating Lease
    - Short-term; lessor bears risks and residual value.
2. Financial Lease (Capital Lease)
    - Long-term; risks and rewards of ownership are transferred to the lessee.
3. Sale and Lease Back
    - Owner sells asset to lessor and leases it back to free capital.

4. Direct Lease
    - Lessor buys asset and gives it directly to lessee.
5. Leveraged Lease
    - Lessor uses borrowed funds to finance purchase of the asset.
6. Cross-Border Lease
    - Lessor and lessee belong to different countries.
7. Service Lease
    - Includes maintenance or operational services along with asset usage.

Part C Long Essay - Answer any 2 questions. Each question carries 15 marks

21. Sole Proprietorship – Meaning, Merits, and Limitations [U / CO1]

1. Meaning

- A sole proprietorship is the simplest form of business, owned, managed, and controlled by a single individual.
- The proprietor has full authority, enjoys all profits, and bears all losses.
- It is common in retail, small services, and local businesses.

Merits of Sole Proprietorship

1. Ease of Formation
    - Simple registration; inexpensive and quick to start.
2. Direct Motivation
    - Proprietor receives all profits, increasing motivation.
3. Full Control
    - Quick and flexible decisions without consultation.
4. Personal Attention to Customers
    - Better understanding of customer needs and improved relations.
5. Confidentiality
    - Financial and business secrets remain protected.
6. Minimum Legal Compliance
    - Fewer laws and formalities.
7. Flexibility
    - Can easily adapt to business changes.

Limitations of Sole Proprietorship

1. Unlimited Liability
    - Personal assets may be used to pay business debts.
2. Limited Capital
    - Owner's personal funds restrict business expansion.
3. Lack of Continuity
    - Business ends upon owner’s death, illness, or bankruptcy.
4. Limited Managerial Skills
    - One person cannot have all expertise needed for business.
5. Overburdened Owner
    - Entire responsibility lies with one person, causing stress.

6. Difficult to Expand
    - Growth limited due to financial and managerial constraints.
7. Risk of Wrong Decisions
    - No consultation; wrong decisions may lead to loss.

22. Divisional Organisation – Advantages, Disadvantages, Features [An / CO2]

Divisional structure groups activities based on products, services, regions, or customer groups.

1. Features

1. Division-Based Structure – Each division operates as a semi-independent unit.
2. Decentralisation – Authority delegated to division heads.
3. Product/Regional Specialisation – Provides focused management.
4. Separate Profit Centres – Each division is responsible for its performance.
5. Autonomy – Divisional managers can plan and execute independently.
6. Accountability – Divisions evaluated based on results and profits.
7. Coordination within Division – Functions grouped under each division.

2. Advantages

1. Improved Decision-Making
    - Quick and flexible as authority is decentralised.
2. Product Specialisation
    - Managers understand product/market deeply and act faster.
3. Measurement of Performance
    - Profitability of each division can be easily assessed.
4. Helps in Growth and Expansion
    - New product lines can be added as new divisions.
5. Develops Managerial Skills
    - Divisional managers gain experience in full-cycle management.
6. Better Coordination within Division
    - Each division functions as a unified team.
7. Increases Accountability
    - Clear responsibility leads to improved efficiency.

3. Disadvantages

1. Costly Structure
    - Each division requires its own resources, increasing expenses.
2. Duplication of Activities
    - Similar activities like marketing, finance, HR repeated across divisions.
3. Inter-Divisional Conflicts
    - Divisions may compete for resources, markets, and recognition.
4. Complex to Control
    - Too many divisions make overall corporate coordination difficult.
5. Higher Administrative Overhead
    - More managers, staff, and systems needed.
6. Lack of Uniform Policies

- Divisions may adopt different procedures affecting consistency.

7. Risk of Over-Decentralisation
    - Senior management may lose tight control over operations.

23. Articles of Association (AOA) – Meaning and Contents [E / CO4]

1. Meaning

- The Articles of Association (AOA) is a primary legal document that defines the internal rules and regulations governing a company's management.
- It details rights, duties, powers, and procedures for running the company.
- It is subordinate to the Memorandum of Association (MOA).

Main Contents of AOA

1. Share Capital and Rights
    - Types of shares, rights of shareholders, issue and transfer of shares.
2. Lien on Shares
    - Company's rights over shares for unpaid amounts.
3. Calls on Shares
    - Procedures for demanding pending share amount from members.
4. Transfer and Transmission of Shares
    - Rules for transferring shares and handling ownership changes.
5. Forfeiture of Shares
    - Conditions under which shares can be forfeited for non-payment.
6. Share Certificates
    - Issue, signing, and duplicate certificates.
7. Meetings and Voting Rights
    - Procedures for calling general meetings, quorum, and voting.
8. Appointment and Powers of Directors
    - Qualifications, duties, rotation, and removal of directors.
9. Dividends and Reserves
    - Declaration, payment, and distribution policies.
10. Accounts and Audit
    - Maintenance of books, audit requirements, and financial statements.
11. Borrowing Powers
    - Rules governing raising loans and issuing debentures.
12. Winding Up
    - Procedures for dissolving the company.
13. Indemnity Clause
    - Protection of directors and officers for actions done in good faith.